

- Identifying ineffective programs by comparing performance with pre-established objectives,
- Using zero-based budgeting,
- Applying MBO concepts for measuring individual and plans,
- Preparing long and short-range objectives and plans,
- Installing **effective controls**, and
- Designing a sound organizational structure with clear, responsibilities and decision-making authority at the appropriate level.

4. Performance Evaluation

Under this MBO process performance review are made by the participation of the concerned managers.

5. Providing Feedback

The filial ingredients in an MBO program are continuous feedback on performance and goals that allow individuals to monitor and correct their own actions.

This continuous feedback is supplemented by periodic formal appraisal meetings which superiors and subordinates can review progress toward goals, which lead to further feedback.

6. Performance Appraisal

Performance appraisals are a regular review of employee performance within organizations. It is done at the last stage of the MBO process.

❖ Decision Making

A decision is a choice from two or more alternatives. Making good decisions is something that every manager should have. Decisions have a major influence in organizational success or failure. Top-level managers make decisions about their organization's goals, middle and lower-level managers make decisions about setting production schedules, handling problems and employee hiring and firing.

DECISION - MAKING PROCESS

Decision making process is a set of eight steps that are following:

Step 1: Identifying a problem

The decision-making process begins with the existence of a problem. A problem is a discrepancy between an existing and a desired state of affairs.

Step 2: Identifying Decision criteria

Once a manager has identified a problem that needs attention, the decision criteria important to resolving the problem must be identified. That is, managers must determine what's relevant in making a decision.

Step 3: Allocating weights to the criteria

The decision maker must weight the items in order to give them the correct priority in the decision. A simple approach of allocating weights is to give the most important criterion a weight of 10 and then assign weights to the rest against that standard.

Step 4: Developing alternatives

Then the decision maker should list the variable alternatives that could resolve the problem. In this step the manager doesn't have to evaluate the alternatives. He only has to list out them.

Step 5: Analyzing alternatives

Once the alternatives have been identified, the decision maker must critically analyze each one. Each alternative is evaluated by appraising it against the criteria established. From his comparison, the strengths and weaknesses of each alternative become evident.

Step 6: Selecting an alternative

The sixth step is the important act of choosing the best alternative from among those considered. We have determined all the pertinent criteria in the decision, weighted them, and identified and analyzed viable alternatives. Now we merely have to choose the alternatives that generated the highest score in previous step.

Step 7: Implementing the alternative

Although the choice process is completed in the previous step, the decision may still fall if it isn't implemented properly.

Implementation involves conveying the decision to those affected by it and getting their commitment to it.

Step 8: Evaluating decision effectiveness

The last step in decision-making process involves appraising the outcome of the decision see if the problem has been resolved. Did the alternative chosen and implemented accomplish the desired results?